Outlook

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Follow-up: does loan pricing reflect risk or merely describe it?

Hi,

This came up in a working session and nobody had the same definition.

Pricing wants to know whether loan spreads vary coherently with risk, affordability, collateral and later repayment outcomes.

I do not want a dashboard that simply counts the outcome. Start with the competing explanations: higher spreads align with higher expected risk; later distress is concentrated in affordability edges rather than price; or channel or product creates unexplained pricing differences.

The operating teams agree that more journeys are failing; they disagree on whether the customer, the bank or a downstream party owns the failure. The first extracts did not reconcile, which means source precedence and exclusions must be part of the answer. This has returned because the previous answer was useful but not strong enough to become a standing rule. Use June 2021 as the new evidence point rather than recycling the earlier conclusion.

What we need to decide is which pricing rules need review and which differences require conduct testing. Please bring a working Excel file with the exception population and clear columns, including a few cases we can trace from source to conclusion.

The available evidence is the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; monthly customer and KYC snapshots. This is an internal consistency and outcome review, not proof that a price is legally fair or actuarially optimal.

Thank you